

A stop placed at the top or middle of the chart pattern would be hit. However, a stop placed at the price of the low at A (the lower of the two bottoms), would not trigger because E didn't drop down to the price of A.

I checked each chart pattern and counted how often price dropped into the chart pattern on the way to the ultimate high, like that shown. In a similar manner, I counted the number of times price climbed into the chart pattern on the way to the ultimate low (that is, for downward breakouts).

Stop placement using this method could not be used for patterns like rising and falling wedges because the breakout is not at the top or bottom of the pattern.

**Swing trader** A trader who tries to profit by trading the move from peak to valley, or valley to peak. Usually holds positions for day(s) and weeks, but usually not for several months or years.

**Tall or short patterns** A ratio expressed as a percentage of the formation height and breakout price. The median value separates the difference between short (values below or equal to the median) and tall (values above the median) and appears in [Table x.5](#).

**Term—short, intermediate, or long** A short-term trend lasts up to 3 months. Intermediate-term trends last between 3 and 6 months. Long-term trends last more than 6 months.

**Throwback** A retrace after an upward breakout. Price declines to, or comes very close to, the breakout price or the pattern's trendline within 30 days after an upward breakout. Whitespace must appear between the hooking price action of the throwback and the breakout price. See [Figure G2](#).

**Trend high** Used for flags, pennants, and perhaps other chart patterns, the minor high that begins or ends a straight-line price run. Similar to the ultimate high except it marks the start or end of a very short-term price trend, not a 20% price change.

**Trend low** Used for flags, pennants, and perhaps other chart patterns, the minor low that begins or ends a straight-line price run. Similar to the